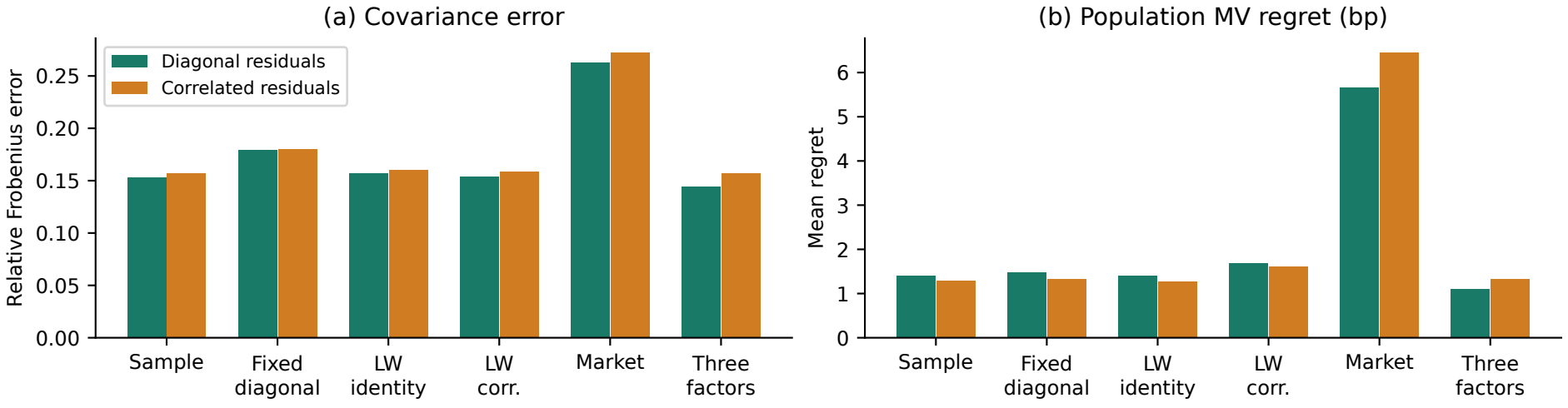
(a) Covariance error
Diagonal residuals
Correlated residuals
Relative Frobenius error
0.00
0.05
0.10
0.15
0.20
0.25
Sample
Fixed diagonal
LW identity
LW corr.
Market
Three factors
(b) Population MV regret (bp)
Mean regret
0
1
2
3
4
5
6
Sample
Fixed diagonal
LW identity
LW corr.
Market
Three factors